

EXECUTIVE OVERVIEW – Liquidity Tabletop Exercise Summary Result

Date: 06/23/2025

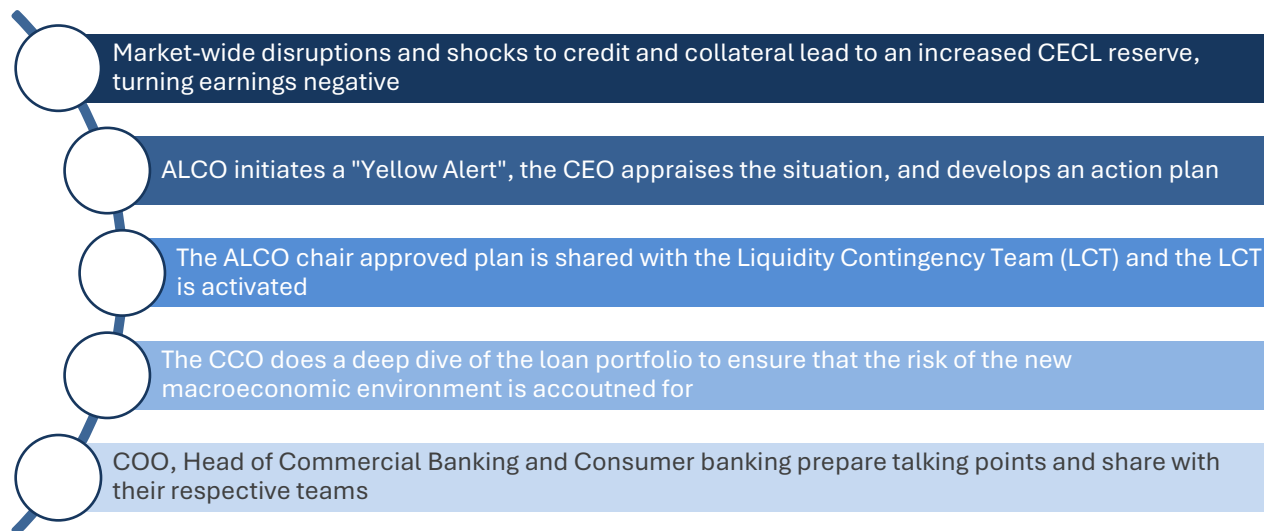
To: ALCO

Submitted By: Derrick Walsh, EVP Chief Financial Officer

Date of Last ALCO Review:	06/12/2024
ALCO Action:	Review

Introduction

- The Contingency Funding Plan Development and Maintenance section of Liquidity Planning Policy 4210 has established that the Contingency Funding Plan “shall be reviewed by management through performance of a liquidity tabletop exercise at least annually that will assess the operational readiness of the Bank to respond to a liquidity shock resulting from either a market-wide, idiosyncratic, or combined market-wide and idiosyncratic shock scenario. Management shall design the shock scenario, present a detailed action plan, assess the funding activity and impact, determine the results, consider lessons learned and any conclusions, which shall be reported to ALCO.”
- The annual tabletop exercise was conducted on June 17, 2025 around a market-wide shock (tariff based market disruptions). It had the following parameters:
 - The industry faces a sudden, severe market-wide shock whereby due to macroeconomic conditions and economic forecasts, significantly higher CECL reserves are anticipated. The Board has met to discuss the lowered outlook for earnings and has unilaterally raised the Liquidity Alert to “Yellow”
- The following action plan was performed:



- Conclusion: The Bank demonstrated its Contingency Funding Team’s readiness, its operational competency, its policy effectiveness and its overall safe and sound business practices.
- A detailed review of the tabletop exercise is presented to ALCO below.

Liquidity Stress Test
June 17, 2025
Yellow Alert – Tabletop Exercise

The Board of Directors has approved Liquidity Planning Policy #4210, which governs activities related to liquidity. The liquidity policy lays out certain activities, of which those germane to a Contingency Funding test are limits on liquidity, triggers as well as a Contingency Funding response. Management sought to perform a tabletop exercise in which operational readiness would be measured. The results of test are included in this document and will be reported to ALCO on June 23rd.

Management discussed the various types of liquidity shocks that could be tested, including market-wide shocks, idiosyncratic shocks or combined shocks, as described below.

1. **Market-wide shocks:** This could involve a sudden and severe economic downturn, such as the 2008 financial crisis. Banks would need to assess their ability to withstand a sharp drop in the value of their assets, a spike in defaults, and a tightening of credit markets.
2. **Idiosyncratic shocks:** These are firm-specific shocks, such as a major lawsuit or regulatory penalty, that could lead to a significant outflow of funds. Banks would need to assess their ability to meet their obligations in the face of such a shock.
3. **Combined shocks:** This scenario combines market-wide and idiosyncratic shocks to assess a bank's resilience under particularly adverse conditions.

Axos management performed a test of the bank's resilience to a market-wide shock, as detailed in the next section below:

Scenario Design: Market-wide Shock – Tariff Shock

- The industry faces a sudden, severe market-wide shock whereby due to macroeconomic conditions and economic forecasts, significantly higher CECL reserves are anticipated. The Board has met to discuss the lowered outlook for earnings and has unilaterally raised the Liquidity Alert to “Yellow”.
- Management will institute the Yellow Alert liquidity funding levels as of May 27th.

Action Plan:

- **CEO (Greg Garrabrants) Actions following the realization of negative earnings:**
 1. A liquidity event / Yellow Alert was given by the Board and the CEO issued the operational alert.
 2. Provides an Action Plan as highlighted in Appendix E of the Liquidity Planning Policy #4210 to the ALCO Chair (Jim Argalas). The ALCO Chair approves/modifies the plan, informs the Board of Directors, and requests ALCO to be convened later that day after the Fed Wire cutoff, given the expected runoff was manageable and management’s higher purpose was in that day’s operational work. The CEO agreed to provide the ALCO Chair with updates throughout the day.
 3. Shares the ALCO Chair approved plan with the impacted members of the Liquidity Contingency Team (LCT) and activates the LCT.
 4. Works with Investor Relations (Johnny Lai) to issue a press release that describes the soundness of the bank’s capital and reserves to investors and depositors. Would likely be one of many peers to experience loss in such a case, so compare to peers.
- **Call center scripts & business line talking points:**
 1. The COO (Raymond Matsumoto) contacts the customer service managers to make sure the deposit call center was prepared for the increase in calls.
 2. The Head of Consumer Bank (Brian Swanson) provides a script to the deposit call center. Highlight safety of insured deposits.
 3. The EVP, Commercial Banking & Treasury Management (David Park) provides talking points to the Commercial Treasury Team.
 4. Ensure that private banking and commercial treasury can sweep uninsured deposits into ICS.
- **Finance & Treasury Actions:**
 1. The CFO (Derrick) coordinates with EVP of Finance (Andy Micheletti), and CIO (Jim Thomas) to perform a deep dive of sources and uses of funds for the day and the week. Regardless of that analysis, the CFO directs the CIO to draw on the available liquidity and draw \$250mm from available unsecured lines of credit (LOCs).
- **Increase ad & marketing spend for UFB deposits:**
 1. SVP, Marketing (John Konstantos) is given authorization to increase ad and marketing expenditures to backfill the deposits being lost as well as future runoff.
 2. A new UFB vintage is opened at a higher rate of 4.25%, up from the prior rate of 4.01%.
- **Credit Actions**
 1. CCO (Tom Constantine) is notified to initiate a deep dive of loan portfolio and ensure that credit quality of loans and report findings to the Board.
- **Mortgages:**
 1. FVP, Secondary Marketing Manager (James Knight) is not contacted, as the volume of mortgages is currently de-minimis.

Funding Activity & Impact:

- Call deposit volume increased 100%. Wait times remain low.
- Wire and ACH activity increased materially, mainly with accounts that had uninsured deposits which equaled \$2.6B at the time of raising the yellow alert.
- By moving to a Yellow alert status, the Level 1 On Balance Sheet Liquidity Level increased from 5.0% to 7.5%.
- There was no need to borrow at FRB or FHLB with the Bank's secured sources of funding, based on projected HQLA 1 balance.
- ALCO met at 4pm after Fed Wires closed to ensure that the actions of the Bank are in line with the yellow alert trigger. The meeting was adjourned at 6pm.
- The key recommendations were as follows:
 - Management recommended keeping the yellow alert status.
 - Management also recommended keeping the new UFB campaign to bolster liquidity
- All balance sheet items are from prior period ending March 31st, 2025

Impact to key metrics as of end of day, T ₀ (relative to prior day, T ₋₁)				
#	\$ in MMs	T-1	T ₀	Change
Balance Sheet Metrics				
1.	Securities	30	30	0
2.	Level 1 Liquidity (HQLA L1)/ Cash Reserves	2,006	1,981	-25
3.	-GSE Loans	16	16	0
4.	-HFS Loans	0	0	0
5.	-Warehouse Facility	159	159	0
6.	-FHLB Availability * 80%	2,543	2,543	0
7.	-FRB Facility * 80%	6,143	6,143	0
8.	Level II Liquidity (HQLA L2) [sum rows 3 to 7]	8,861	8,861	0
9.	Total Assets	23,300	23,400	100
10.	LOC Borrowings (unsecured)	0	250	250
11.	Secured Borrowings			
12.	-FHLB	60	60	0
13.	-FRB	0	0	0
14.	Net Loan Funding (Net Draw)	0	175	175
15.	Total Deposits	21,673	21,573	-100
Capital & Liquidity Metrics:				
16.	Total Capital	2,426	2,376	-50
17.	Level 1 Liquidity (% of total assets)	8.6%	8.5%	-0.1%
18.	Target Liquid Assets/ Total Capital	535%	523%	-12%

Results:

Axos management performed the below tasks that demonstrate operational readiness.

- A) Management was able to successfully use the Contingency Funding call tree.

- a. Texts were sent out to all members, except James Knight.
 - b. 100% of team members replied back to the text.
- B) The CEO created an action plan

Liquidity Trigger Event Action Plan				
Action	Expected Impact on Liquidity	Expected Impact on Capital	Implementation Timeframe	Responsible Party
Borrow Unsecured Lines of Credit	+250mm	None	Day 1	Jim Thomas
New UFB Vintage 25bps Higher	+\$1B	None	30 Days	Brian Swanson
Loan Review	None	Indeterminate	30 Days	John Constantine

- C) The ALCO Chair reviewed and approved the plan without modification as conditioned by Appendix G.
- D) Investor Relations issues a press release covering the negative earnings, saying it is a bolstering of ACL reserves to be prepared for downside scenarios.
- Placeholder:

About Axos Financial, Inc. and Subsidiaries

Axos Financial, Inc. is the holding company for Axos Bank, Axos Clearing LLC and Axos Invest, Inc. Axos Bank is a nationwide bank, with approximately \$18.7 billion in assets as of December 31, 2022. Axos Financial, Inc., through Axos Bank, provides consumer and business banking products through its low-cost distribution channels and affinity partners. Axos Clearing LLC (including its business division AAS), with approximately \$32.3 billion of assets under custody and/or administration as of December 31, 2022, and Axos Invest, Inc., provide comprehensive securities clearing services to introducing broker-dealers and registered investment advisor correspondents, and digital investment advisory services to retail investors, respectively. Axos Financial, Inc.'s common stock is listed on the NYSE under the symbol "AX" and is a component of the Russell 2000® Index, the S&P SmallCap 600® Index, the KBW Nasdaq Financial Technology Index, and the Trivillion Tech-Forward Bank Index. For more information on Axos Financial, Inc., please visit investors.axosfinancial.com.

Forward-Looking Safe Harbor Statement

This press release contains forward-looking statements that involve risks and uncertainties, including without limitation statements relating to Axos' financial prospects and other projections of its performance and asset quality, Axos' deposits and capital ratios, Axos' ability to continue to grow profitably and increase its business, Axos' ability to continue to diversify its lending and deposit franchises, the anticipated timing and financial performance of other offerings, initiatives, and acquisitions and expectations of the environment in which Axos operates. These forward-looking statements are made on the basis of the views and assumptions of management regarding future events and performance as of the date of this press release. Actual results and the timing of events could differ materially from those expressed or implied in such forward-looking statements as a result of risks and uncertainties, including without limitation Axos' ability to successfully integrate acquisitions and realize the anticipated benefits of the transactions, changes in the interest rate environment, monetary policy, inflation, government regulation, general economic conditions, changes in the competitive marketplace, conditions in the real estate markets in which we operate, risks associated with credit quality, our ability to attract and retain deposits and access other sources of liquidity, and the outcome and effects of litigation and other factors beyond our control. These and other risks and uncertainties detailed in Axos' periodic reports filed with the Securities and Exchange Commission could cause actual results to differ materially from those expressed or implied in any forward-looking statements. You are cautioned not to place undue reliance on these forward-looking statements, which speak only as of the date of this press release. All forward-looking statements are qualified in their entirety by this cautionary statement, and Axos undertakes no obligation to revise or update any forward-looking statements to reflect events or circumstances after the date of this press release.

Johnny Lai, CFA
SVP, Corporate Development and Investor Relations
Axos Financial, Inc.
Phone: 1-858-649-2218
Email: jlai@axosfinancial.com

- E) Treasury tested Liquidity by borrowing de-minimis amounts at our correspondent banks.

Line of Credit PCBB	\$150,000,000
Line of Credit Zions	\$25,000,000
Line of Credit BMO	\$25,000,000
Line of Credit PNC	\$25,000,000
Line of Credit US Bank	\$25,000,000
Total Line of Credit	\$250,000,000

Lessons Learned

In testing the operational capabilities of OnSolve, our preferred vendor for Call Tree notifications we were able to identify one item. One of the team member's phones was not reflecting their mobile line, however, this was remedied shortly and they got their number updated in the system. All respondents answered the call tree.

Conclusion

Axos has demonstrated its Contingency Funding Team's readiness, demonstrated its operational competency, demonstrated policy effectiveness, and demonstrated overall safe and sound business practices.